

How the Funding Readiness Tiers Were Built

A plain-language guide to how 1,116 SME funding applications were scored out of 100 and sorted into High, Mid and Low readiness tiers — JSE SME Rise Capital Matching Programme

In one paragraph: every SME that applied for funding was given a score out of 100. The score adds up four things a funder always asks about — **is there a real, growing business (30 points), does it employ people and create jobs (25 points), is the amount asked for sensible (25 points), and how strong is its transformation profile (20 points)?** Businesses scoring 62 or more are **High readiness** (245 SMEs) — ready to meet investors now. Scores of 48 to 61 are **Mid readiness** (595 SMEs) — promising but needing development. Below 48 is **Low readiness** (276 SMEs) — not yet fundable, usually because the ask is unrealistic or the application is incomplete. No business is ever marked down simply because a question on the form was left blank.

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1. Why score the applications at all?

The programme received 1,116 funding applications asking for a combined R10.30 billion. No funding team can read that many applications one by one, and no investor wants a spreadsheet of a thousand names. The scoring model turns the pile into an ordered, defensible shortlist: it reads the same facts from every application, weighs them the same way for everyone, and produces a single score out of 100. The same rules apply to a bakery in Limpopo and a logistics firm in Gauteng — which is exactly what makes the result fair and explainable.

The score is not a judgement of whether a business is good or bad. It measures one specific thing: **how ready this application is to be put in front of a funder today**. A wonderful early-stage business with no revenue records and an oversized ask will score low — not because it lacks potential, but because a funder could not act on its application as it stands.

2. The score at a glance: four pillars, 100 points

Each application earns points across four pillars. Each pillar answers one question a funder would ask, and the four weights add up to exactly 100:

Pillar	Weight	The question it answers
1. Revenue & Growth	30 pts	Is there a real, growing business here?
2. Jobs & Scale	25 pts	Does it employ people, and will the funding create jobs?
3. Funding-Ask Viability	25 pts	Is the amount requested sensible, and is the form complete?
4. Transformation (B-BBEE)	20 pts	How strong are the BEE level and inclusive ownership?

Inside the model each pillar is first measured on a 0-to-1 scale, then multiplied by its weight. A business that is perfect on a pillar gets all of that pillar's points; halfway gets half. The four results are simply added together. Because the pieces are recorded separately, we can always say *why* a business got its score — for example, “strong revenue, but it lost points because the ask was ten times its turnover.”

3. Pillar 1 — Revenue & Growth (30 points)

This pillar rewards a business for already earning money and for growing. Applicants reported their annual revenue in bands (from “no revenue” up to “above R50 million”, a 0-to-6 scale). Two ingredients are blended:

- **Size — 60% of the pillar.** Where the most recent revenue band sits on the scale. The 2024 band is used, falling back to 2023 if 2024 was not given. A business with no revenue band at all is treated as pre-revenue (the bottom of the scale) — kept in the process, not thrown out.
- **Growth — 40% of the pillar.** How many bands the business moved between 2023 and 2024. Moving up scores above the middle; staying flat scores exactly neutral; moving down scores below it. Extreme jumps are capped at two bands either way, so one unusual year cannot dominate. If growth cannot be worked out, the business gets the neutral middle score.

4. Pillar 2 — Jobs & Scale (25 points)

Funders read headcount as proof that a business genuinely operates, and promised new jobs as its development impact. Two ingredients: **existing employees (55%)** and **anticipated new jobs from the funding (45%)**.

One subtlety: going from 1 employee to 5 says far more about a small business than going from 50 to 54. The model therefore uses a curve that rewards the first few employees generously and levels off as numbers grow — around **50 staff, or 50 promised jobs, earns full marks** on that half of the pillar. This keeps the comparison fair between micro-businesses and the handful of larger applicants.

Here a blank is counted as zero rather than neutral — the one deliberate exception to the fairness rule in section 7. An unstated headcount on a funding application reasonably reads as “none recorded”, and job-creation claims should not be presumed on an applicant's behalf.

5. Pillar 3 — Funding-Ask Viability (25 points)

The most practical pillar: could a funder act on this request as written? Two ingredients:

- **A sensible ask — 60% of the pillar.** The request is compared with the business's current revenue (its most recent reliable figure: actual 2025 revenue where given, otherwise the midpoint of the 2024 or 2023 band). Asking for **between half and five times annual revenue** is the “sweet spot” and earns full marks — that is the range in which funders can realistically structure a deal. Much smaller asks still score reasonably (they are easy to fund, just modest). Much larger asks lose points steadily — a business asking for twenty-five times its revenue scores zero on this ingredient. If there is no revenue figure to compare against, the score stays neutral rather than punishing the applicant.
- **A complete application — 40% of the pillar.** The share of ten key fields actually filled in (registration number, industry, province, ask amount, funding type, funding purpose, 2024 revenue band, employees, company overview, BEE level). An application missing half of these is simply harder to assess and fund, so completeness is itself a readiness signal.

6. Pillar 4 — Transformation / B-BBEE (20 points)

South African funders — especially development finance institutions and corporate enterprise-development funds — weigh transformation credentials heavily, so it earns its own pillar. Two equal halves: the **BEE level** (Level 1 scores highest, Level 8 lowest, a missing level is neutral) and **inclusive ownership** — the average of the Black, women, youth and disability ownership percentages.

Why is this the lightest pillar? Because this applicant pool is already deeply transformed — roughly nine in ten applicants are majority Black-owned and most hold BEE Level 1. A criterion nearly everyone maxes out cannot separate stronger applications from weaker ones. It is kept because it is a genuine funder requirement; it is weighted lowest because in this pool it does the least sorting work.

7. The fairness rule for missing answers

Application forms come back imperfect, and a scoring model must decide what a blank means. The rule used throughout is: **a missing answer is treated as neutral — the middle score — never punished down to zero.** A business is not marked down because a field failed to capture an answer.

There are two sensible exceptions, both already noted: a business with no revenue band recorded anywhere is treated as pre-revenue, and blank employee or job numbers count as zero, because in both cases the absence of a figure genuinely carries meaning.

8. From score to tier

The 0–100 score is converted into a tier using fixed cut-offs, so a tier keeps the same meaning even if new applications arrive later:

Tier	Score range	SMEs	Share	What it means
High readiness	62 or more	245	22.0%	Strongest candidates - ready to progress to funders now
Mid readiness	48 to 61	595	53.3%	Promising - needs development or more information
Low readiness	below 48	276	24.7%	Early-stage or incomplete - not yet fundable

Every business also receives a **rank** (1 = most funding-ready of all 1,116), so the pipeline can be worked from the top down rather than tier by tier alone. The full scored list — each business with its four pillar point contributions, final score, tier and rank — lives in the Funding Readiness dataset behind the Power BI dashboard.

9. A worked example

To see the whole machine run once, take an illustrative applicant — call it *Thabo's Bakery*: revenue band 3 in 2024 (up one band from 2023), 8 employees, 12 new jobs promised, asking R1.5 million against roughly R3 million of revenue (a ratio of 0.5, just inside the sweet spot), nine of the ten key fields completed, BEE Level 1, and average inclusive ownership of 60%.

Pillar	Working	Points earned
Revenue & Growth (30)	Size: band 3 of 6 = 0.50. Growth: up one band = 0.75. Blend 60/40 = 0.60	18.0
Jobs & Scale (25)	8 staff = 0.56 on the curve; 12 jobs = 0.65. Blend 55/45 = 0.60	15.0
Ask Viability (25)	Ratio 0.5x = sweet spot = 1.00. Completeness 9/10 = 0.90. Blend 60/40 = 0.96	24.0
Transformation (20)	BEE Level 1 = 1.00. Ownership 60% = 0.60. Blend 50/50 = 0.80	16.0
Total		73.0 = HIGH

At 73.0 the bakery clears the 62-point line comfortably and lands in the High tier — and the pillar breakdown shows exactly why: an exemplary ask and strong transformation, with room to grow on revenue and headcount.

10. Questions people usually ask

Why these weights and not others?

They mirror how funders actually triage applications: evidence of a business first (30), impact and traction next (25), practicality of the deal (25), and mandate fit (20). The weights sit in one place in the model and can be re-tuned by changing four numbers if the programme's priorities shift.

Why fixed tier cut-offs instead of taking the top 20%?

Fixed cut-offs keep the label honest. “High readiness” means the same thing next quarter even if a hundred new applications arrive; with percentage-based tiers, a business could drop a tier without anything about it changing.

Can a business change tier?

Yes — that is the point. Completing missing fields, right-sizing the ask, or a year of revenue growth all feed straight into the score. Re-running the model on updated data re-scores and re-ranks everyone in seconds.

Does a low score mean a bad business?

No. It means the application, as submitted, is not yet something a funder can act on. The two most common causes in this pool are asks far above revenue and incomplete forms - both fixable.

Where do the dashboard's pillar charts come from?

Directly from these calculations. Each business's four pillar point contributions (out of 30/25/25/20) are stored alongside its score, which is what the dashboard's pillar and tier visuals plot.

Method source: Funding_Readiness_Segmentation.ipynb (scoring model, notebook 3 of 3), applied to the cleaned application dataset (Capital_Matching_Cleaned_Data.xlsx, 1,116 records). Tier statistics verified directly against Funding_Readiness_Segmentation.xlsx. Prepared July 2026.